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BY EMAIL AND BY POST

Ms Sarah Whitfield

Whitfield Carter LLP

22 Bishopsgate, London EC2N 4BQ

Your ref: SW/JO/PEN-0111 Our ref: DP/CV/CR-2241

16 December 2024

Dear Madam

Pennington Industries Limited and Crossfield Engineering Limited

Supply Agreement dated 12 March 2024 — your Letter Before Action of 18 November 2024

We act for Crossfield Engineering Limited ("Our Client"). We have your Letter Before Action of 18 November 2024 and the enclosed laboratory report, and we have taken Our Client's instructions. Liability is denied in full. This is Our Client's letter of response under the Practice Direction on Pre-Action Conduct.

1. The specification and sample approval

Our Client's case is that the PX-440 housings supplied conformed to the specification as it was actually agreed between the parties. The Technical Specification at Schedule 1 was the subject of correspondence in February and March 2024 in which your client's engineering team approved first-article samples. Our Client will say that the material grade was discussed and that the parties proceeded on the basis of a value-engineered alternative grade. Your client's reliance on "316L" as an absolute requirement is not accepted.

2. Causation

Even if (which is denied) any housing departed from specification, Our Client does not accept that this caused the field failures relied upon. The pumps in question operate in demanding marine and process environments. Our Client is instructed that your client altered the assembly torque values and the seal arrangement in mid-2024 and that the failures are attributable to those changes and to operating conditions outside the design envelope, not to the housings.

3. The single laboratory report

The Wraysbury report is a unilateral report obtained without notice to Our Client, on a sample selected by your client, and on housings the provenance and handling of which cannot now be verified. It does not establish a systemic material substitution and Our Client reserves the right to obtain its own expert metallurgical evidence.

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4. Limitation and exclusion of liability

Without prejudice to the above, Our Client relies on clause 11 of the Supply Agreement. Clause 11.2 excludes liability for loss of production, loss of profit and other indirect or consequential loss, and clause 11.3 caps Our Client's aggregate liability at the total charges paid under the Agreement (£214,830). The overwhelming majority of the losses listed in your letter — in particular the £742,000 claimed for lost production — are irrecoverable as a matter of contract in any event.

5. Quantum

The figures in your schedule are not accepted and are unparticularised. Your client is put to strict proof of each head of loss, of the reasonableness of the alleged replacement premium, and of any steps taken to mitigate. Our Client notes that your client appears to have continued to ship product during the relevant period.

6. Way forward

Our Client denies that it owes your client anything. It is, however, prepared to engage constructively and would consider a without-prejudice meeting or mediation once the parties have exchanged the key technical documents. To that end we should be grateful if you would provide the complete Wraysbury instructions and underlying data, and your client's production and shipping records for the PX-series during 2024.

Our Client's position is fully reserved. Nothing in this letter is to be taken as an admission.

Yours faithfully,

Calderbank Hughes LLP

Deepa Patel — Partner

Calderbank Hughes LLP